

Z · II · X

C A P I T A L

# Updated Bittensor Treasury & Private Equity Acquisition Strategy

CONFIDENTIAL STRATEGIC REPORT · UPDATED JUNE 2026

STRATEGY

Hybrid PE + Digital Treasury

PRIMARY ASSET

Bittensor (TAO)

MODEL

LBO + Treasury Flywheel

## 01 · UPDATED MARKET POSITION

# TAO & Digital Asset Landscape

**Data refresh:** TAO price \$228.93, market cap \$2.53B, 24H volume \$327.6M, circulating supply 11.04M, max supply 21.0M, estimated staking reward rate 16.57%, staking ratio 75.86%, and staked balance approximately 8.4M TAO.

SOURCES: COINMARKETCAP LIVE MARKET DATA, COINBASE STAKING DATA. FIGURES CHANGE IN REAL TIME.

TAO PRICE

**\$228.93**

Updated market price · June 2026

MARKET CAP

**\$2.53B**

Live market capitalisation

SUPPLY STAKED

**75.86%**

Of eligible TAO currently staked

NATIVE APY

**16.57%**

Estimated annual staking reward rate

24 H VOLUME

**\$327.6M**

Reported 24-hour trading volume

CIRCULATING SUPPLY

**11.04M**

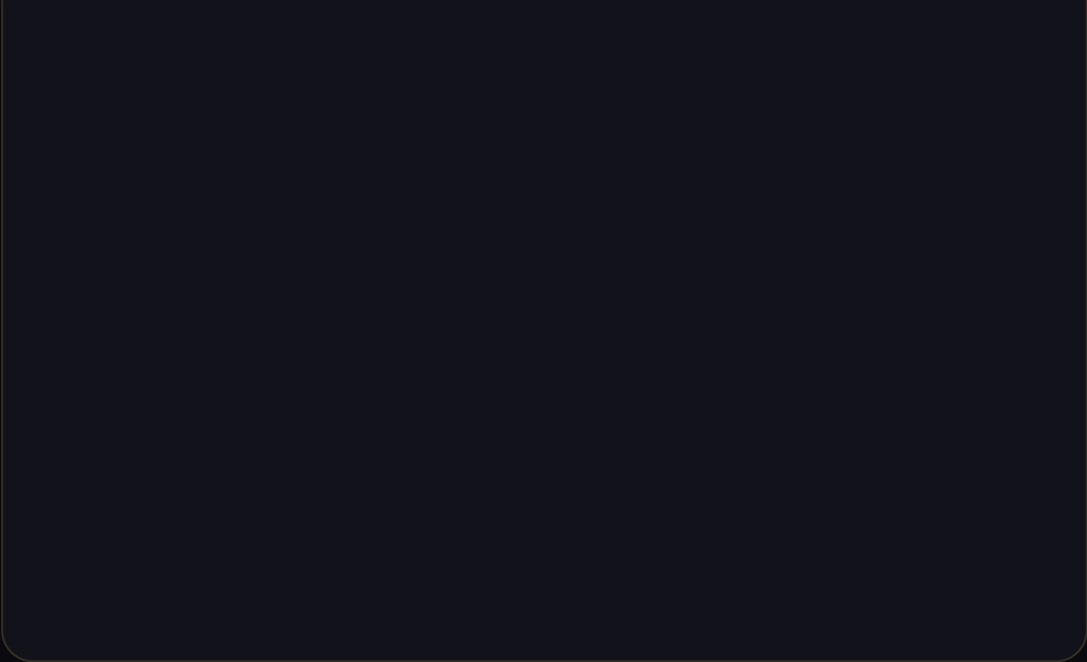
Current circulating supply

## TAO Price Projection 2026–2030

Scenario projections refreshed from the current TAO price anchor

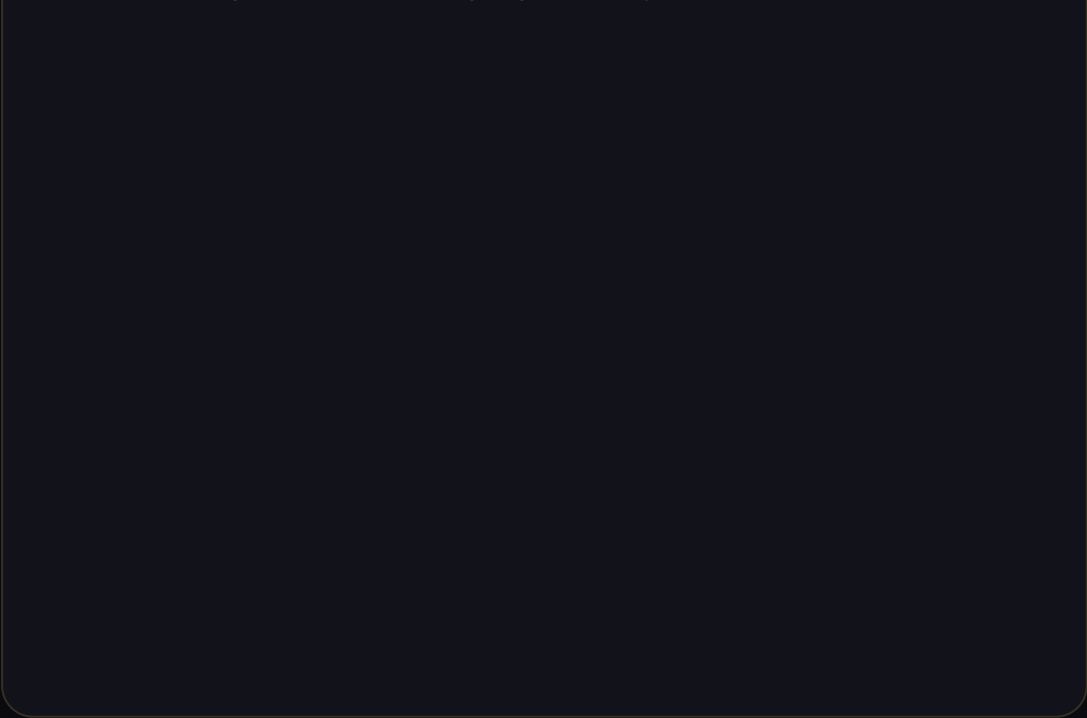
## TAO vs BTC — Narrative Comparison

Positioning Z·II·X Capital in unclaimed territory



### Supply Distribution

Current staking ratio and remaining eligible supply



## 02 · THE THREE PILLARS

## Z·II·X Capital Architecture

Z·II·X Capital operates as a next-generation hybrid investment company — combining the discipline of classic private equity, systematic trading, and digital asset treasury accumulation. Four interlocking pillars drive the model.

**Synthex Forge Engine:** Z·II·X Capital also generates profit through Synthex Forge, a multi-agent systematic trading pipeline built using Nous Research's Hermes Agent. It replaces discretionary trading with a systematic, multi-strategy engine that operates 24/7 under statistical validation, correlation diversification, and institutional risk controls.



## PILLAR ONE

### Digital Asset Treasury

Hold Bittensor (TAO) as the primary reserve asset and Bitcoin as secondary. Accumulate continuously using cash flows from operating businesses and systematic trading profits. Treasury growth strengthens the entire platform.



## PILLAR TWO

### Leveraged Buyouts

Acquire small to mid-size businesses using disciplined transaction structures. Target companies with resilient cash flows, operational improvement potential, and the ability to support long-term capital compounding.



#### PILLAR THREE

### SME Acquisitions

Acquire durable operating businesses with loyal customers, recurring or repeatable revenue, and low capital intensity. Improve systems, reporting, execution, and management discipline post-acquisition.



#### PILLAR FOUR

### Systematic Trading

Generate profits through Synthex Forge, the flagship systematic trading company. Built on Nous Research's Hermes Agent, it replaces discretionary trading with a 24/7 multi-agent, multi-strategy engine where each strategy is statistically validated, correlation-diversified, and institutionally risk-managed.

## The Z·II·X Capital Flywheel

1

**Acquire Businesses** — Build a portfolio of durable operating companies with repeatable cash flow



2

**Run Synthex Forge** — Generate systematic trading profits through a Hermes Agent-powered, 24/7 multi-agent, multi-strategy engine



3

**Validate & Manage Risk** — Each strategy is statistically validated, correlation-diversified, and institutionally risk-managed



4

**Deploy Surplus Cash Flow** — Operating profits and systematic trading profits fund TAO accumulation



5

**Stake TAO** — Compound treasury assets through native staking and disciplined reserve management



6

**Reinvest Into Scale** — More treasury strength, more acquisition capacity, more systems, more compounding

## Revenue Stream Composition

Projected revenue distribution across non-dividend income channels at maturity

## SECTION 03 — ACCUMULATION STRATEGY

### 03 · TAO ACCUMULATION METHODS

# Six Pathways to Treasury Growth

| #  | METHOD               | MECHANISM                                                         | PRIORITY  | STATUS       |
|----|----------------------|-------------------------------------------------------------------|-----------|--------------|
| 01 | Direct Market DCA    | Fixed weekly/monthly buys on Coinbase Institutional or Kraken Pro | Primary   | Active Day 1 |
| 02 | Native Staking       | 16.57% APY — stake all holdings, auto-compound rewards            | Primary   | Active Day 1 |
| 03 | Validator Delegation | Delegate TAO to subnet validators, earn network emissions         | Secondary | Phase 2      |



| #  | METHOD               | MECHANISM                                                  | PRIORITY      | STATUS           |
|----|----------------------|------------------------------------------------------------|---------------|------------------|
| 04 | Cash Flow Conversion | 30% of all acquisition cash flows converted to TAO monthly | Core Engine   | Post-Acquisition |
| 05 | Grayscale GTAO ETF   | Hold GTAO shares for regulated, custodied TAO exposure     | Secondary     | Pending SEC      |
| 06 | OTC Block Purchases  | Large off-market buys via Coinbase Prime or Genesis OTC    | Institutional | Phase 3+         |

## Staking Yield Growth at 16.57% APY

Estimated annual TAO rewards across treasury sizes using the current reward-rate anchor

# Accumulation Methods by Impact

Relative contribution to treasury growth

# Treasury Security Layers

Multi-layered custody protocol allocation

## SECTION 04 — GROWTH ROADMAP

### 04 · TAO ACCUMULATION ROADMAP

# Five Phases to Treasury Dominance

#### PHASE 1 · MONTH 1-3

### Seed — 25 TAO

Incorporate Z·II·X Capital. Open corporate treasury account. Begin DCA strategy. Purchase initial 25 TAO. Set up cold storage and multi-sig security. Stake immediately at 16.57% APY.

#### PHASE 2 · MONTH 3-12

### Build — 100 TAO

Continue disciplined accumulation from operating income and systematic trading profits. Reinvest staking rewards. Validate Synthex Forge live performance and identify the first acquisition target.

#### PHASE 3 · YEAR 1-2

### Scale — 1,000 TAO

Flywheel activated. Synthex Forge contributes systematic trading profits while the acquisition pipeline begins generating operating cash flow. Validator delegation and

treasury governance are formalised.

#### PHASE 4 · YEAR 2-3

### Institutional — 10,000 TAO

OTC accumulation and institutional custody activated. Private treasury governance, reporting, and risk controls mature. Z·II·X Capital remains private, selective, and focused on long-term compounding.

#### PHASE 5 · YEAR 3-5

### Private Treasury — 10,000+ TAO

Full flywheel compounding at scale. Z·II·X Capital operates as a private capital holding company with disciplined treasury management, systematic trading profits, selective acquisitions, and long-term reserve accumulation.

## TAO Treasury Growth Projection

Cumulative TAO holdings across all five phases including staking compound effect

## SECTION 05 — CAPITAL STRUCTURE

### 05 · CAPITAL STRUCTURE & SECURITY

# How Z·II·X Capital Is Built

| LAYER                  | INSTRUMENT                     | PURPOSE                          |
|------------------------|--------------------------------|----------------------------------|
| <b>Equity</b>          | Common stock or private shares | Fund operations and acquisitions |
| <b>Conv.<br/>Notes</b> | Debt convertible to equity     | Fund treasury TAO purchases      |
| <b>LBO Debt</b>        | Senior secured loans           | Fund business acquisitions       |

| LAYER      | INSTRUMENT                | PURPOSE                              |
|------------|---------------------------|--------------------------------------|
| Cash Flows | From operating businesses | Accumulate digital assets monthly    |
| Treasury   | TAO and BTC holdings      | Collateral for future capital raises |

### Capital Structure Allocation

Illustrative capital deployment across all five layers at initial raise

| SECURITY LAYER | METHOD                           | PURPOSE                                      |
|----------------|----------------------------------|----------------------------------------------|
| Cold Storage   | Ledger or Trezor hardware wallet | Primary treasury vault — offline, unhackable |
| Multi-Sig      | 2-of-3 key requirement           | Prevents single point of failure             |

SECURITY  
LAYER

METHOD

PURPOSE

**Inst. Custody**

Coinbase Custody or  
BitGo

For holdings above \$1M USD

**Segregated**

Separate wallets per fund

Clean accounting and audit trail

**Insurance**

Lloyd's of London crypto  
policy

Protection against theft or loss

*"Accumulate relentlessly. Stake everything. Never sell. Let  
the flywheel compound."*

— Z·II·X CAPITAL TREASURY PHILOSOPHY

SECTION 06 — COMPETITIVE POSITIONING

06 · THE MICROSTRATEGY BLUEPRINT

## What They Proved. What We Build Next.

MicroStrategy evolved from a conventional enterprise software vendor into the world's first Bitcoin Treasury Company — its valuation almost entirely decoupled from software fundamentals and moving in tandem with Bitcoin. Z·II·X Capital follows this proven model and goes further.

## MicroStrategy Model Evolution

From software company to \$100B+ treasury vehicle

## Z·II·X vs MicroStrategy Model

Key differentiators across six dimensions



| DIMENSION        | MICROSTRATEGY             | Z·II·X CAPITAL                         |
|------------------|---------------------------|----------------------------------------|
| Primary Asset    | Bitcoin (BTC)             | <b>Bittensor (TAO)</b>                 |
| Narrative        | Digital Gold Treasury     | <b>Decentralised AI Treasury</b>       |
| Operating Engine | Enterprise Software       | <b>LBO &amp; SME Acquisitions</b>      |
| Yield Generation | None — BTC does not stake | <b>16.57% APY via staking</b>          |
| Lane             | Claimed — fully occupied  | <b>Unclaimed — first mover</b>         |
| Upside Potential | Established, lower beta   | <b>Earlier stage, higher asymmetry</b> |

DATA NOTE

# Market Data Disclaimer

This report uses refreshed public market and staking figures for Bittensor. Crypto prices, market capitalisation, trading volume, staking ratios, and reward rates move

continuously. This document is for strategic presentation and internal planning only; it is not investment advice.

## Z·II·X

CAPITAL · CONFIDENTIAL STRATEGIC REPORT · UPDATED JUNE 2026

ACCUMULATE RELENTLESSLY · STAKE EVERYTHING · NEVER SELL · LET  
THE FLYWHEEL COMPOUND